

FREE RESOURCE // THE MASTER OF MUSIC INDUSTRY

Royalties Explained: Stop Leaving Money on the Table

Most independent artists collect less than half of the royalties they are legally owed — not because the money does not exist, but because nobody told them how to claim it. This guide covers every royalty type and exactly where to register.

// THE TWO RIGHTS IN EVERY SONG

Every piece of recorded music contains two separate copyrights — and they generate different royalties collected by different organizations. Most artists only know about one of them.

THE COMPOSITION	THE MASTER RECORDING
The melody and lyrics — the song itself. Owned by the songwriter(s) and publisher.	The actual recorded performance. Owned by whoever paid for and owns the recording.
Generates: Performance royalties + Mechanical royalties	Generates: Master royalties + Neighboring rights
Collected by: PROs (ASCAP/BMI/SESAC) + MLC	Collected by: SoundExchange + distributors

// THE 5 ROYALTY STREAMS YOU NEED TO KNOW

- 1

Performance Royalties (PRO Royalties)
Generated every time your song is PERFORMED publicly — radio, TV, streaming, bars, restaurants, live venues, airlines, elevators. Collected by your PRO on behalf of the songwriter. Register with: ASCAP (ascap.com) or BMI (bmi.com) — choose one, not both. Register every song you write. Free to join. Common mistake: Not registering a song before it gets placed on TV or synced. You cannot backdate claims.

2 Mechanical Royalties

Generated every time your composition is REPRODUCED — on a physical product, digital download, or as an on-demand stream. This is separate from performance royalties. Register with: The MLC (themlc.com) — FREE to register and covers all on-demand streams in the US. Also register with Harry Fox Agency for physical and download mechanicals. Common mistake: Thinking your PRO covers this. It does not. ASCAP and BMI do NOT collect mechanical royalties.

3 Master Recording Royalties (SoundExchange)

Generated when your RECORDING is broadcast digitally — Pandora, SiriusXM, internet radio, webcasting. This is NOT covered by your distributor's streaming payouts. It is entirely separate. Register with: SoundExchange (soundexchange.com) — free to register as both artist and sound recording copyright owner. Common mistake: Not registering at all. SoundExchange holds millions in unclaimed royalties every year.

4 Sync Licensing Fees

A one-time fee paid when your music is licensed for use in TV, film, ads, video games, or online content. This requires clearing BOTH the master and composition rights. Fees range from \$100 for indie YouTube content to \$500,000+ for major ad campaigns. Get registered with: A sync licensing agent or music library. Build a sync-ready catalog with clean metadata, stems available, and no uncleared samples.

5 Neighboring Rights

Performance royalties for the RECORDING (not the composition) when it is broadcast on radio or TV — primarily in international markets. The US does not mandate these for traditional radio, but international royalties can be significant. Register with: PPL (UK), SOCAN (Canada), APRA AMCOS (Australia), or through a neighboring rights agency if you have international airplay.

// YOUR REGISTRATION CHECKLIST

- Join ASCAP or BMI (not both)

ascap.com or bmi.com — free for songwriters

- Register every song you have ever released with your PRO

Go back through your catalog — you may have unclaimed royalties waiting

■ Register with The MLC for mechanical royalties

themlc.com — completely free, covers US streaming mechanicals

■ Register with SoundExchange as both Artist and SRCO

soundexchange.com — covers Pandora, SiriusXM, internet radio

■ Ensure all metadata is correct on every release

ISRC codes, composer credits, publisher info — one wrong field = lost royalties

■ Register copyrights with the US Copyright Office

copyright.gov — provides legal protection and enables statutory damages

■ Explore neighboring rights if you have international audience

Talk to a neighboring rights agent if you have significant international streaming

"Royalties do not find you. You have to go find them — and register before the money is generated, not after."